Guide for Organizing Not-for-Profit Corporations

SECRETARY *of* STATE | ALEXI GIANNOULIAS

My office provides this guide to assist you with forming your own Not-for-Profit Corporation, a process that can sometimes be complicated. The guide provides detailed guidelines for filing the Articles of Incorporation, as well as information on filing fees, government agencies you must contact, and legal obligations you will assume after incorporation.

This guide is not a substitute for legal advice. I encourage you to consult with an attorney and accountant to understand the legal, business, tax, and financial obligations and consequences that may result after incorporation.

If you have further questions about organizing your Not-for-Profit Corporation, please contact my office's Department of Business Services, Corporations Division, at 217-524-8008.

Alexi Giannoulias
Illinois Secretary of State

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ARTICLES OF INCORPORATION

The Articles of Incorporation is a legal document through which a corporation is formed. This document is sometimes referred to as the charter. Regardless of your future tax-exempt status, you must complete and submit two identical copies of the Articles of Incorporation, Form NP-102.10, with at least one copy being the original. All sections of the form must be completed. Please type or print all responses.

TAX-EXEMPT STATUS

NOT ALL NOT-FOR-PROFIT CORPORATIONS ARE TAX EXEMPT. Before you take any action, you should decide whether you wish to apply for federal income tax-exempt status (e.g., 501(c) (3) status). Only certain kinds of charities, schools, churches, research institutes, clubs, etc., fall into that category. The words "athletic,'' "benevolent,'' "eleemosynary,'' and "social" are not acceptable as purposes if a corporation is going to apply for 501(c) (3) status.

To find out if your corporation may qualify for a tax break, obtain and read the Internal Revenue Services' (IRS) Publication 557 — Tax-Exempt Status for Your Organization. An organization does not have to be incorporated to apply for exempt status.

If you decide to apply, you will use either Form 1023 or Form 1024. However, you must be incorporated before the IRS considers your application a Not-for-Profit Corporation. Incorporation does not guarantee federal tax exemption, but if you wish to apply for that status, your Articles of Incorporation may have to be written with the IRS regulations in mind.

ARTICLES OF INCORPORATION REQUIREMENTS

CORPORATE NAME

A. Restrictions

Distinguishable: You may choose any name as long as it is distinguishable from: (1) the name of an existing Illinois corporation; (2) the name of a foreign corporation authorized to conduct affairs in Illinois; (3) the name of an existing Illinois Limited Liability Company (LLC) or a foreign LLC registered in Illinois; or (4) a name to which the exclusive right is currently reserved.

NFP Designator: The name must end with the letters NFP if it contains any word or phrase that indicates or implies that the corporation is organized for any purpose not listed in the General Not For Project Corporation Act of 1986.

Restricted Words: No name shall contain the words "regular democrat," "regular democratic," "regular republican," "democrat," "democratic," "republican," or the name of any other established political party unless consent is given by the State Central Committee of such established political party.

B. Name Availability

You may check if a name is available by calling the Secretary of State's Department of Business Services at 217-524-8008 or using the name availability tool on the Department's website.

NOTE: *A preliminary name availability determination does not guarantee that the name will be available at a later date. The Department of Business Services reserves final determination of availability until a Name Reservation, an Articles of Incorporation, or an Assumed Name Application is filed.*

C. Reserving a Name

You may reserve an available name for 90 days for a $25 fee by filing Form NFP-104.10 with the name and a brief description of the corporate purpose. Name reservations may be renewed by repeating this process.

REGISTERED AGENT AND OFFICE

A. Purpose

Each corporation must establish and maintain a registered agent and a registered office in Illinois upon whom service of process on the corporation may be served and to whom all official correspondence from the Secretary of State may be sent. For these reasons, the name and address of the registered agent must be kept current with the Secretary of State.

NOTE: *Failure to maintain a registered agent and a registered office will ultimately result in the involuntary dissolution of the company.*

B. Qualifications

The registered agent must be:

- An individual who resides in Illinois **OR**
- A business entity authorized to transact business in this state.

The registered office must be:

- Located in Illinois and must be a street or road address. P.O. Box numbers will not be accepted.

C. Changes

Any change in either the registered agent or the office must be reported as soon as the change occurs. Prompt reporting of changes ensures correspondence will be completed on time. Form NFP-105.10 is used to report changes.

DURATION

The duration is the period of time you plan to be incorporated. The duration is perpetual unless otherwise stated in the Articles of Incorporation.

PURPOSE

A. General

The purpose states the function or character of the corporation. Illinois requires this statement to be narrow and specific. Purposes that are too broad, general, or vague will not be accepted.

B. Allowable Purposes

Not-For-Profit Corporations may be organized for any one or more of the following or similar purposes:

1) Charitable.
2) Benevolent.
3) Eleemosynary.
4) Educational.
5) Civic.
6) Patriotic.
7) Political.
8) Religious.
9) Social.
10) Literary.
11) Athletic.
12) Scientific.
13) Research.
14) Agricultural.
15) Horticultural.
16) Soil improvement.
17) Crop improvement.
18) Livestock or poultry improvement.
19) Professional, commercial, industrial, or trade association.
20) Promoting the development, establishment, or expansion of industries.
21) Electrification on a cooperative basis.
22) Telephone service on a mutual or cooperative basis.
23) Ownership and operation of water supply facilities for drinking and general domestic use on a mutual or cooperative basis.
24) Ownership or administration of residential property on a cooperative basis.
25) Administration and operation of property owned on a condominium basis or by a homeowner association.
26) Administration and operation of an organization on a cooperative basis producing or providing goods, services, or facilities primarily for the benefit of members who are consumers of such goods, services, or facilities.
27) Operation of a community mental health board or center organized under the Community Mental Health Act for the purpose of providing direct patient services.
28) Provision of debt management services as authorized by the Debt Management Service Act.
29) Promotion, operation, and administration of a ridesharing arrangement as defined in Section 1-176.1 of the Illinois Vehicle Code.
30) Administration and operation of an organization for the purpose of assisting low-income consumers in the acquisition of utility and telephone services.
31) Any purpose permitted to be exempt from taxation under Section 501(c) or 501(d) of the U.S. Internal Revenue Code, as now in or hereafter amended.
32) Any purpose that would qualify for tax-deductible gifts under Section 170(c) of the U.S. Internal Revenue Code, as now or hereafter amended. (Any such purpose is deemed to be charitable under subsection (a)(1) of this Section.)
33) Furnishing natural gas on a cooperative basis.
34) Ownership and operation of agriculture-based biogas (anaerobic digester) systems on a cooperative basis, including the marketing and the sale of products produced from these, including but not limited to methane gas, electricity, and compost.

35) Ownership and operation of a hemophilia program, including comprehensive hemophilia diagnostic treatment centers, under Section 501(a)(2) of the Social Security Act. The hemophilia program may employ physicians, other health care professionals, and staff. The program and the corporate board may not exercise control over, direct, or interfere with a physician's exercise and execution of their professional judgment in providing care or treatment.
36) Engineering for conversation services associated with wetland restoration or mitigation, flood mitigation, groundwater recharge, and natural infrastructure. Non-profit engineering for conservation services may not be procured by qualifications based selection criteria for contracts with the Department of Transportation, Illinois State Toll Highway Authority, or Cook County, except as a subcontractor or subconsultant.

C. Specifics

After prefacing the general purpose, a more detailed or specific purpose may be listed. Simple, everyday language can be used. For example: "To find homes for stray dogs and cats," "To send needy inner-city children to summer camp,'' or "To form a neighborhood block club.'' DO NOT use any language that may indicate or imply a business purpose, as it is not a proper not-for-profit purpose.

A corporation that is to function as a club, as defined in Section 1-3-24 of the Liquor Control Act of 1934, must insert in its purpose clause the following statement: the corporation will comply with state and local laws and ordinances relating to alcoholic liquors.

A corporation must also state whether it is a condominium association as established under the Condominium Property Act, a cooperative housing corporation defined in Section 216 of the Internal Revenue Code of 1954, or a homeowner association, which administers a common-interest community as defined in subsection (c) of Section 9-102 of the Code of Civil Procedures.

D. Tax-Exempt Status

If you intend to apply for federal tax-exempt status, you must elaborate on the corporation's purpose in the Other Provisions section of the form.

E. Powers

All Not-For-Profit Corporations are granted many powers by statute. Among the granted, statutory powers are the powers to sue and be sued, complain and defend in the corporate name; to have and affix a corporate seal; to purchase, lease, acquire, hold, use, own, or otherwise deal in and with any real and personal property; to make contracts and incur liabilities; to elect or appoint officers; to make and alter by-laws; to loan money for its corporate purposes; to have and exercise all powers necessary or convenient to effect any or all of the purposes for which the corporation is organized. Because these powers are statutory, they do not need to be listed or included in the purpose.

DIRECTORS

There must be at least three directors. They do not have to be Illinois residents or corporation members, but you may require these and any other qualifications you choose. Restrictions and qualifications may be outlined in the Articles of Incorporation under the Other Provisions section or in the corporate by-laws.

INCORPORATORS

One or more incorporators may organize a corporation under this Act. An incorporator may be either a natural person age 18 or older or a corporation, domestic or foreign, whether not-for-profit or otherwise.

OTHER PROVISIONS

This section may be used to list any other provisions regarding the corporation's internal affairs that you wish to have as part of the Articles of Incorporation. These may include:

A. Tax-Exempt Status

If you intend to apply to the IRS for tax-exempt status and the section of the Internal Revenue Code under which your corporation will fall requires an elaboration of purposes, the means for achieving them, procedures for dissolution, etc., this is the place to make those statements. This section must be written in a language and format that conforms to the specifications of the IRS Code. These statements will play a large part in determining your tax status by the IRS. (Note — In some instances, this information may be included in your by-laws instead of in the Articles of Incorporation. Check Publication 557, ask the IRS, or consult an attorney if uncertain.)

B. Restrictions and Qualifications

List who can be a member, an officer, or a director and what duties each must perform. This information need not be a part of the Articles of Incorporation, but if not, it should be a part of the by-laws.

C. Other Regulations

List any other regulation(s) governing the corporation's internal affairs. This information need not be a part of the Articles of Incorporation, but if not, it should be a part of the by-laws.

FILING THE ARTICLES OF INCORPORATION

WHAT IS NEEDED TO FILE

- Two copies of the Articles of Incorporation (one originally signed document and one copy, which may be an original or photocopy).
- Payment of the initial $50 filing fee. Forms of accepted payment are: credit card, certified check, cashier’s check, money order, Illinois attorney check, or certified public accountant’s check. Please make payments payable to the Illinois Secretary of State. Cash payments are not accepted.

WHERE TO FILE

Articles of Incorporation and the initial incorporation fee can be submitted on the Department’s website or mailed to the Department of Business Services in Springfield.

If expedited service is requested, the Department will review and, if approved, file the Articles of Incorporation within 24 hours of receipt (excluding weekends and holidays). Under the provisions of the Illinois General Not-For-Profit Act, all requests for expedited service will incur a $25 service fee in addition to the $50 filing fee. Please note that expedited service is only available in-person.

Once approved, the Secretary of State will stamp the filing date on both copies of the Articles of Incorporation and assign an 8-digit file number. One copy of the Articles of Incorporation will be returned to the Corporation's representative.

FILINGS AFTER INCORPORATING

FEDERAL INCOME TAX

If you decide to apply for federal income tax exemption, you must do so after you have been incorporated and have received the filed Articles of Incorporation from the Secretary of State. Applications for federal tax-exempt status are available from the IRS. Completed applications should be submitted to the IRS, along with photocopies of your Articles of Incorporation and your by-laws. The IRS will notify you of its determination and the annual reports you will be required to file after receiving your documents.

If you do not apply for or do not receive a federal tax exemption, you must file federal income tax returns and pay the appropriate tax. Please consult the IRS for more information.

ILLINOIS INCOME TAX

If your corporation receives a federal tax exemption, it is exempt from Illinois income tax. No reports need to be filed, and no tax is due.

If you do not apply for or do not receive a federal tax exemption, you must file Illinois income tax returns and pay the appropriate tax. For more information, please consult the Illinois Department of Revenue, Income Tax Division.

ILLINOIS SALES TAX

Some Not-For-Profit Corporations may qualify for an exemption from paying sales tax on goods purchased for the organization's use if they are formed exclusively for charitable, religious, or educational purposes or for senior citizens. To find out if you qualify, write a letter of request to the Illinois Department of Revenue, Sales Tax Division, and enclose photocopies of your Articles of Incorporation, by-laws, constitution, IRS exemption letter, or any other documents that may help determine your status. The Department of Business Services will notify you of your status.

If you qualify for sales tax exemption, you will be issued an exemption letter. You may not use your not-for-profit registration number or IRS number to claim exemption from Illinois sales tax.

ILLINOIS ATTORNEY GENERAL REGISTRATION

Certain charitable organizations must register with the Attorney General, Division of Charitable Trust and Solicitations, under either or both the Illinois Charitable Trust Act or the Illinois Solicitation Act. Please consult the Office of the Illinois Attorney General for more information.

REPORTING REQUIREMENTS

ANNUAL REPORTS TO THE SECRETARY OF STATE

All Not-For-Profit Corporations must file an annual report of officers and directors with the Secretary of State. Exact due dates for annual reports vary based on when the corporation was formed. The annual report is due before the first day of the corporation's anniversary month each year. The anniversary month is the month in which the corporation was formed. For example, if the date of incorporation was September 15, the annual report is due before the first day of September every year. Forms will be sent to the registered agent approximately 60 days before the due date. Failure to file an annual report may result in the involuntary dissolution of the corporation.

ANNUAL REPORTS TO OTHER GOVERNMENT AGENCIES

The IRS, Illinois Department of Revenue, and Illinois Attorney General may require other annual returns. Please consult the proper agency for more information on your obligations.

OTHER REPORTS TO THE SECRETARY OF STATE

Any change in the corporate name, duration, or purpose will require an amendment to the Articles of Incorporation. Mergers, dissolutions, or reinstatements must also be reported to the Department of Business Services. All forms are available on the Department's website and should be filed upon the occurrence of the particular event.

NOT-FOR-PROFIT CORPORATIONS FORMS AND FEES

Please note that the expedited fee amounts are in addition to the applicable filing fees, franchise taxes, penalties, and interest.

Form Number	Form Name	Fee	Expedited Fee in addition to fee
EOA 205	Statement of Conversion	$100	$200
EOA 305	Statement of Domestication	$100	$200
EOA 204/304	Statement of Conversion/ Domestication Abandonment	$100	$200
NFP 101.15	Statement of Correction	$25	N/A
NFP 102.10	Articles of Incorporation	$50	$25
NFP 104.10	Reservation or Transfer of Name	$25	$25
NFP 104.15/104.20	Application to Adopt an Assumed Name	See Form	$25
NFP 104.15/104.20	Application to Change or Cancel an Assumed Name	$5	$25

NFP 104.25	Registration or Renewal of Name (Foreign)	$50	$25
NFP 104.25	Cancellation of Foreign Registration	$5	$25
NFP 105.10/105.20	Change of Registered Agent/Office	$5	$25
NFP 105.15	Notice of Resignation of Registered Agent	$5	$25
NFP 105.25	Affidavit of Compliance for Service of Process	$10	$25
NFP 110.30	Articles of Amendment	$25	$25
NFP 110.30R	Restated Articles of Incorporation	$100	$25
NFP 111.25	Articles of Merger or Consolidation	$25	$25
NFP 111.37	Articles of Merger	$25	$25
NFP 112.20	Articles of Dissolution	$5	$25
NFP 112.25	Articles of Revocation of Dissolution	$5	$25
NFP112.45/113.60	Application for Reinstatement Domestic/Foreign Corporation	$25	$25
NFP 113.15	Application for Authority to Conduct Affairs in Illinois	$50	$25
NFP 113.40	Application for Amended Certificate of Authority	$25	$25
NFP 113.45	Application for Certificate of Withdrawal and Final Report	$5	$25
NFP 114.05	Domestic/Foreign Corporation Annual Report	$10	$25
NFP 115.15	**Expedited Processing**		
	Corporate Request Form For:		
	Certificates Of Good Standing	$5	$10
	Copies Of Documents	$5	$25
NFP 115.20	**Routine Processing**		
	Corporate Request Form For:		
	Certificates Of Good Standing	$5	
	Copies Of Documents	$5	

All payments must be in the exact amount due and accompany any forms submitted.

Forms of accepted payment are: credit card, certified check, cashier's check, money order, Illinois attorney check, or certified public accountant's check. Please make payments payable to the Illinois Secretary of State. Cash payments are not accepted.

CONTACT INFORMATION

This information is not intended to be a complete list but merely those agencies most frequently required to be consulted.

ILLINOIS SECRETARY OF STATE

ilsos.gov

Secretary of State
Department of Business Services
Corporation Division
501 S. Second St., Rm. 350
Springfield, IL 62756
217-524-8008

Secretary of State
Department of Business Services
Corporation Division
69 W. Washington St., Ste. 1240
Chicago, IL 60602
312-793-3380

ILLINOIS DEPARTMENT OF REVENUE

tax.illinois.gov

Department of Revenue
Income Tax Division
101 W. Jefferson St.
Springfield, IL 62702
217-782-3336
800-732-8866

Department of Revenue
Income Tax Division
555 W. Monroe St., Ste. 1100
Chicago, IL 60661
800-732-8866

Department of Revenue
Sales Tax Division
101 W. Jefferson St.
Springfield, IL 62702
217-782-3336
800-732-8866

Department of Revenue
Sales Tax Division
555 W. Monroe St., Ste. 1100
Chicago, IL 60661
800-732-8866

ILLINOIS ATTORNEY GENERAL

Illinois Attorney General
500 S. Second St.
Springfield, IL 62701
217-782-1090

Illinois Attorney General
Division of Charitable Trust and Solicitations
100 W. Randolph St., 11th Fl.
Chicago, IL 60601
312-814-2595

INTERNAL REVENUE SERVICE

irs.gov

Internal Revenue Service
3101 Constitution Drive
Springfield, IL 62704
800-829-1040

Internal Revenue Service
Attn: Forms Services
230 S. Dearborn St.
Chicago, IL 60609
800-829-1040

ILLINOIS
SECRETARY
of STATE

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